

markets, and EWT's analysis of the vaunted baseball card market was no less timely. Here is the assessment from October 30, 1992, nearly two years before the now-famous players' strike:

Most overpriced items of the 1980s have fallen in value. Baseball players' salaries, as well as baseball cards and other memorabilia, are an exception. There is reason to believe that these prices have just made a "spike top" along with fans' emotions. If you're an investor, take profits on baseball cards. If you're a player, sign a long term contract. If you're an owner, sell your club.

The lower tier the investment item, the faster it falls. Here are four articles that tell the story of baseball cards' fortunes in the months immediately following that forecast, right up to today.

Forbes ■ December 21, 1992

this much is clear: The low end of the sports card market is in the doldrums, the victim of oversupply. Last year two major Topps competitors, Marvel Entertainment Group's Fleer unit and Leaf Inc.'s Donruss division, abandoned the low end of the market because dealers were returning the cheaper cards in large quantities.

Many securities analysts who follow Topps say they expect no sizable writedown this year. They predict fiscal 1993 earnings of \$1.35 a share, versus \$1.15 in 1992.

#### THE WALL STREET JOURNAL JANUARY 27, 1993

NEW YORK — Baseball-card stocks were hit by news that market leader Topps Co. will report its first quarterly loss in more than a decade.

Topps — which experienced strong insider selling last year — sank 31%, to \$8.50 from \$12.25, on seven times its usual volume.

The announcement sent shares of several other companies in the sports-memorabilia business south yesterday. Among them was Marvel Entertainment Group, the comic-book giant that purchased card manufacturer Fleer Corp. last September. Shares of Marvel, which according to analysts gets roughly half its revenue from Fleer, slid \$3.25, or 11.5%, to \$24.875 on five times its normal volume.

"The speculative bubble has burst in the new cards," said

#### SPORTS TRADING CARDS

#### Market has started to fall apart

The market is crumbling. Manufacturers are laying off employees as their stock tumbles and they cut back on production. Retailers are going out of business. Prices on goods are slashed. Card collecting exploded in popularity in the 1980s and turned into a highly profitable business. Card brands increased from one in the 1970s to 40. Then came the crash of '92-'93. Pro Set filed for Chapter 11 bankruptcy. Topps, the trading card leader, lost 30% of its stock value in one day after it reported an expected quarterly loss. The cause of the decline lies in the oldest law of business, the law of supply and demand.

Rocky Mountain News  
Wed., April 7, 1993

#### Strike is 'another nail' in trading cards' coffin

In limbo because of the major league player's strike, the baseball trading-card business faces a grim question: How low can it go?

Not much lower, says Steve Myland, a wholesaler in Phoenix: "The strike has had a profound effect. The industry is collapsing."

Joe Bosley, a dealer in Reisters-

town, Md., says sales of baseball cards issued in recent years are down 90%: "It's another nail in the coffin."

Myland estimates 20%-30% of card retailers have folded since the strike began, as have four card publications. Topps says its production is at its lowest level in 30 years. Upper Deck says it cut back by 75%.

March 23, 1995